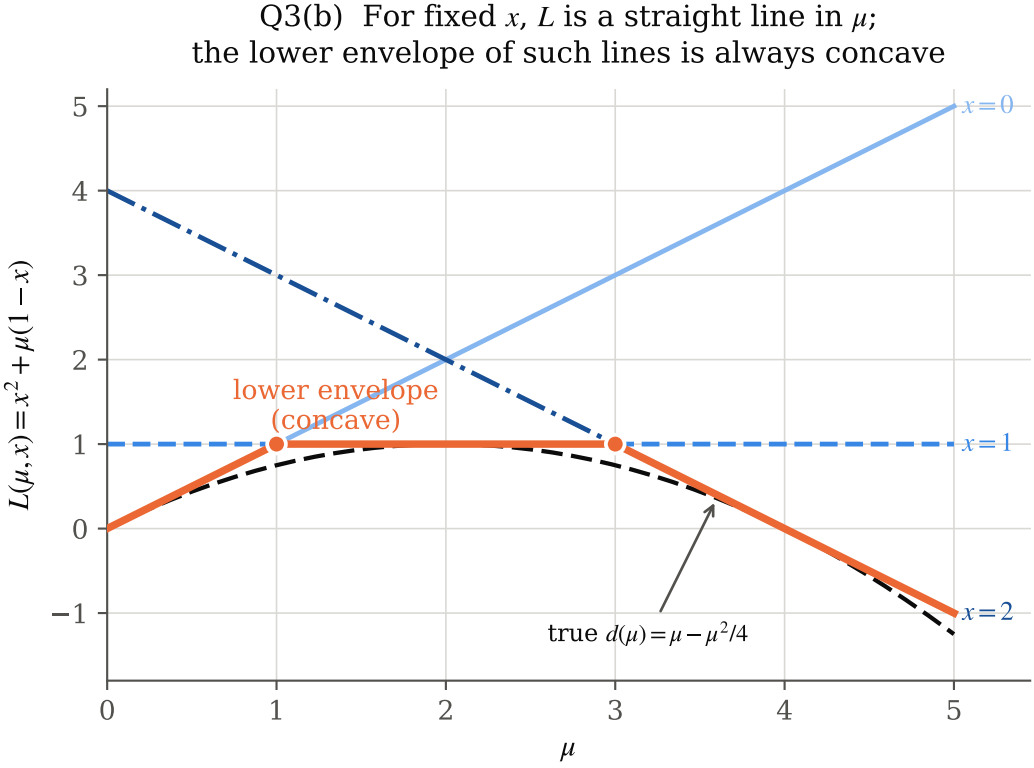
Q3(b) For fixed x, L is a straight line in μ;
the lower envelope of such lines is always concave
$L(\mu,x)=x^2+\mu(1-x)$
μ
$x=0$
$x=1$
$x=2$
lower envelope
(concave)
true $d(\mu)=\mu-\mu^2/4$
5
4
3
2
1
0
−1
0
1
2
3
4
5